and the financial institutions). All the Government securities are dated and the interest for the repo or reverse repo transactions are announced by the RBI from time to time.

The provision of repos and the reverse repos have been able to serve the liquidity evenness in the economy as the banks are able to get the required amount of funds out of it, and they can park surplus idle funds through it. These instruments have emerged as important tools in the management of the monetary and credit policy in the recent years.[17]

(viii) Cash Management Bill (CMB)

The Government of India, in consultation with the Reserve Bank of India, decided to issue a new short-term instrument, known as Cash Management Bills, since August 2009 to meet the temporary cash flow mismatches of the Government. The Cash Management Bills are *non-standard* and *discounted instruments* issued for maturities less than 91 days.

The Cash Management Bills have the *generic character of Treasury Bills* (issued at discount to the face value); are tradable and qualify for *ready forward facility;* investment in it is considered as an eligible investment in Government Securities by banks for SLR.

It should be noted here that the existing Treasury Bills serve the same purpose but as they were put under the WMAs (Ways & Means Advances) provisions by the GoI in 1997 they did not remain a fluid route to government in meeting its short-term requirements of funds at its will (see 'Fiscal Consolidation in India' sub-topic in the Chapter Public Finance for details). The CBM does not come under the similar WMAs provisions.

DISCOUNT AND FINANCE HOUSE OF INDIA (DFHI)

The Discount and Finance House of India Limited[18] (DFHI) was set up in April 1988 by the RBI jointly with the public sector banks and financial investment institutions (i.e. LIC, GIC and UTI). Its establishment was an outcome of the long-drawn need of the following two types: